
Investor Guidance for Prioritizing Gender

Deepening investor and portfolio company level approaches to drive gender equity across the full value chain

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Boston Common
Asset Management

About Boston Common Asset Management

Boston Common Asset Management (BCAM) is a diverse, women-led, sustainable investor and innovator dedicated to the pursuit of financial return and social change. An active, global equity ESG investment manager and a leader in impactful shareowner engagement since its founding in 2003, BCAM is majority women- and employee-owned. BCAM is headquartered in Boston, with offices in San Francisco. The company's investment strategies totaled \$5.5 billion in assets as of March 31, 2022. For more information, please visit bostoncommonasset.com.

Acknowledgments

The development of this report was led by Lauren Compere, Head of Stewardship & Engagement at Boston Common Asset Management, with support from Danielle Burt, gender expert and former Gender Lead at the World Benchmarking Alliance. We wish to acknowledge the organizations and experts whose input has informed the development of this guidance as well.



Rationale for Investor Action to Prioritize Gender

While there is growing momentum to mobilize the private sector to drive global gender equity, there remains much work to be done. Among investors, while progress has been significant, the [majority of gender lens investing \(GLI\) public markets activity](#) focuses on women in leadership and remains relatively limited in size. Among initiatives focused on business and human rights or on the “S in ESG,” gender is addressed implicitly at best and therefore not clearly defined nor directly addressed. Among corporations, gender data disclosure remains limited, as does corporate action to drive gender equity, which largely focuses only on women in leadership if at all.

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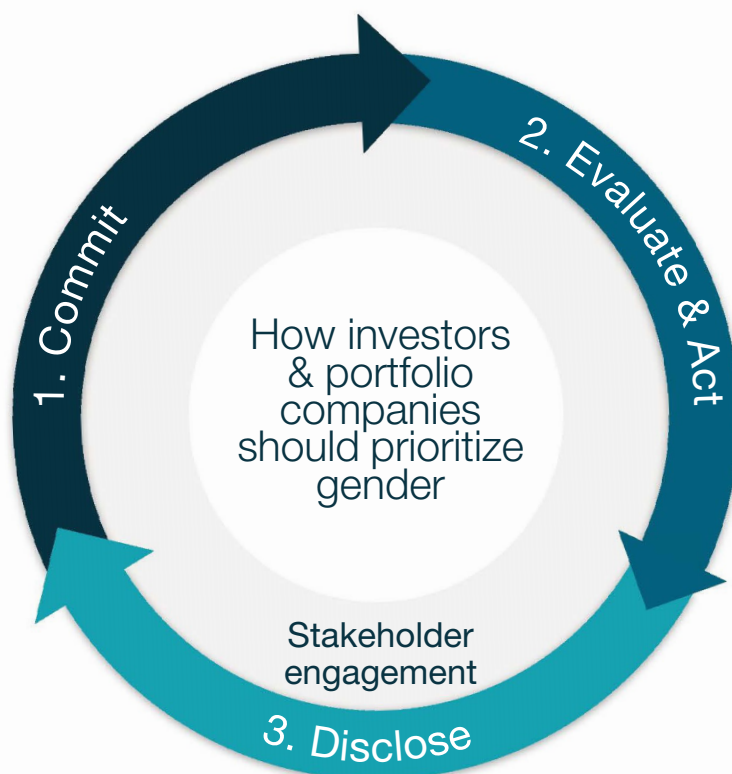
In this context, the [global gender gap](#) has not only persisted but is worsening, with the COVID-19 pandemic having widened the gap by a generation from 99.5 years to 135.6 years. This divide is felt both in the world and in the workplace. In the [Boardroom](#), while the number of women on Boards is rising, there remains room for growth overall and especially when considering intersections with other aspects of identity like race/ethnicity. At work, women experience harassment at alarming rates in the [US](#), [Europe](#), and beyond. Further, the COVID-19 pandemic is driving a [widening gender pay gap](#) and causing more women to [leave the workforce](#), [risk burnout](#) and/or face [increased incidence of domestic violence](#).

We believe there is a significant opportunity for investors - specifically those focused on public equities - to play a role in changing this and to encourage their portfolio companies to do the same. To help close the global gender gap, investors must recognize that the investment approaches used to date aren't enough; rather, it is essential that they explicitly prioritize gender and give it the attention it requires. This means that investors should not consider gender a separate, one-dimensional, secondary or implicit topic. Instead, they should prioritize gender using a more explicit and integrated full value chain approach, backed by better gender data and disclosure. This builds on the momentum to date focused primarily on (Board) leadership diversity. It also considers gender across all policies, processes, functions, products and services, and business relationships in a company's workplace, marketplace, supply chain and community. It captures relevant contextual nuances and intersections as well.

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Investor Call to Action



To help drive global gender equity, Boston Common calls upon investors to prioritize gender at the firm and the portfolio company level by taking the following action(s):

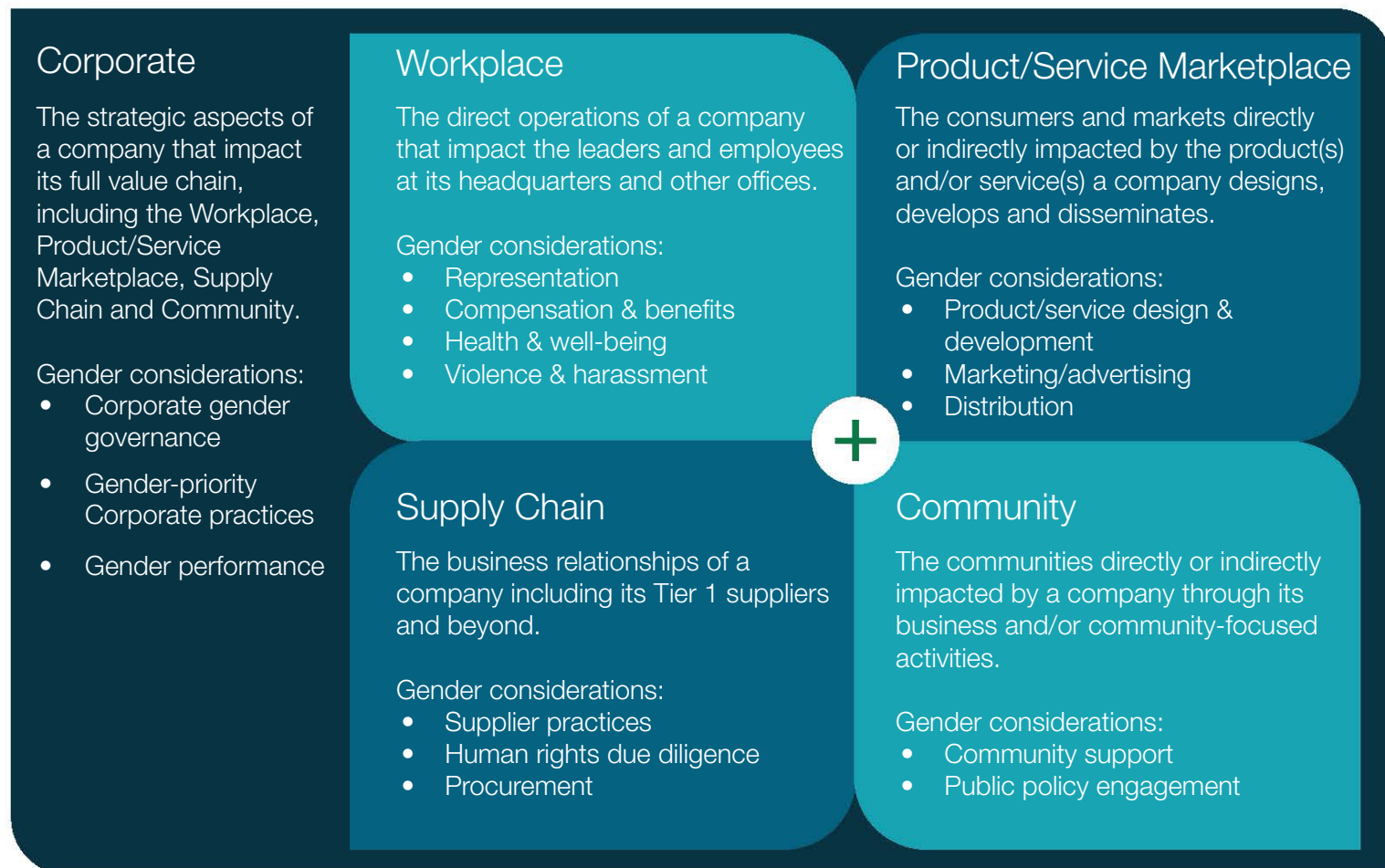
1. Commit

Investors must begin by establishing clear, intentional, and explicit corporate gender governance. This includes establishing the right gender commitments and targets at the highest level of an organization and ensuring the right accountabilities are in place to achieve these commitments. It also requires looking beyond a singular or siloed approach (e.g., focused only on women in leadership) and instead prioritizing gender in a more integrated way using a full value chain approach (See “Prioritizing Gender using a Full Value Chain approach” below).

2. Evaluate & Act

Investors must also embed gender-priority practices across their firms’ systems and processes. This means translating their gender commitments to investment activities that prioritize gender and/or taking a more integrated approach to their day-to-day activities and decision-making that explicitly captures gender. This may mean, among others, including gender when mitigating risk through negative screens or in due diligence activities, when seeking opportunities through positive screens or by supporting companies whose products and/or services directly improve women’s lives. It may also mean integrating gender into related DEI efforts or corporate engagement activities and/or engaging with public policy actors to drive gender equity. A full value chain approach to assess gender among portfolio companies is required.

Prioritizing Gender using a Full Value Chain approach



3. Disclose

Tracking, analyzing and - importantly - disclosing gender data is key to ensuring progress. Investors can and should play a key role in driving better gender data by setting the right example and disclosing their own corporate gender data, by scrutinizing their portfolio companies on key gender metrics across the full value chain, and/or by supporting the collective harmonization of gender data.

Where possible, these actions should also consider a more nuanced and intersectional approach that explores gender and: other intersectional aspects of identity; diversity, equity and inclusion; sector- and geography-specific contexts.



Gender-Priority Investor Framework

The Gender-Priority Investor Framework below provides a broader set of considerations for investors as they (1) commit, (2) evaluate & act, and (3) disclose on gender in their own firm and/or in their portfolios using a full value chain approach.

Gender-Priority Investor Framework

1.

Commit

Corporate gender governance

Investors

Corporate gender governance:

- Explicit gender commitment
- Alignment with corporate strategy
- Gender-priority Corporate & Workplace practices

Portfolio Companies

Corporate gender governance:

- Explicit gender commitment
- Alignment with corporate strategy

2.

Evaluate & Act

Gender-priority practices

Gender-priority investment activities:

- Gender-priority investment integration
- Gender-priority screening
 - ESG investment guidelines
 - Portfolio level assessment
 - Portfolio company level assessment
- Gender-priority stewardship
 - Portfolio company engagement
 - Escalation
 - Shareholder proposals
 - Proxy voting
 - Collective action
- Gender-priority remedy

Gender-priority practices across full value chain:

- Gender-priority Corporate practices
- Gender-priority Workplace practices
 - Representation
 - Compensation & benefits
 - Health & well-being
 - Violence & harassment
- Gender-priority Product/Service Marketplace practices
 - Product/service design & development
 - Marketing/advertising
 - Distribution
- Gender-priority Supply Chain practices
 - Supplier practices
 - Human rights due diligence
 - Risk assessment
 - Remedy
 - Procurement
- Gender-priority Community practices
 - Community support
 - Public policy engagement

Stakeholder Engagement

3.

Disclose

Gender performance

Gender performance

- Corporate gender data
- Steps taken to prioritize gender
- Portfolio gender data

Gender performance

- Corporate gender data



Practical Next Steps

The Gender-Priority Investor Framework (above) outlines a multitude of ways in which investors can deepen the breadth and/or depth of their approach to prioritizing gender. We realize, however, that doing all of these things at once is unrealistic. Therefore, we encourage investors to start somewhere. Below is a summary of essential

internal (firm-level) and external (portfolio-level) actions for investors to consider as they prioritize gender. A broader list of suggested action(s) that take into account various investor entry points can be found in the Investor Guidance for Prioritizing Gender report.

Key actions for investors to prioritize gender

1. Establish an explicit firm-level gender commitment.

Define a clear internal commitment that prioritizes gender not just in the context of Human Resources and/or Diversity, Equity, & Inclusion (DEI) efforts alone; it should also look across the firm's full value chain. This commitment should be supported at the most senior level(s) of the firm. It should include relevant corporate policies and, importantly, capture measurable, time-bound gender targets and the necessary accountability mechanism(s) to ensure these targets are met. This commitment should align with the firm's broader corporate strategy and ultimately translate to Corporate and Workplace practices that prioritize gender

2. Integrate gender into all investment activities and decision-making.

Explicitly and systematically embed gender in all investment activities, including investment policies, investment analysis, investment processes, stewardship practices and ultimately investment decisions. This includes, among others: integrating gender into ESG research and investment guidelines; incorporating gender-specific risks into ESG and other risk management processes; explicitly exploring gender-focused investment themes and opportunities; and/or integrating gender-related factors into investment decisions.

3. Conduct stewardship activities that prioritize gender.

Identify and implement stewardship activities that prioritize gender. Consider the "quick win" opportunities (e.g., with more established corporate relationships, where data is more readily available or where resource requirements are more limited) and build on these over time. These include:

a. Actively engage with portfolio companies on gender.

Begin to engage with companies on gender. Consider focusing on timely, more mainstream topics (e.g., board/leadership diversity, gender pay gap, forced arbitration). See "[Five essential questions to ask companies on gender](#)" below for further support.

b. Integrate gender into proxy voting and/or shareholder proposals.

Incorporate gender into proxy voting in both developed and emerging markets (e.g., create proxy voting guidelines that prioritize gender; consider voting against specific members or an entire Board in elections where diversity is lacking). Explicitly support shareholder proposals and consider filing them as part of escalation strategies that prioritize gender (e.g., EEO-1 disclosure; gender pay gap; sexual harassment; discrimination).

c. Participate in collective action opportunities focused on driving gender equity.

Work collectively with relevant ecosystem players to drive systemic change (e.g., actively engage investor networks on gender; actively participate in public policy engagement to drive legally-binding requirements on gender including EU legislation on mandatory human rights and environmental due diligence, SEC human capital management disclosure, and/or ILO Convention C-190, Violence and harassment in the world of work).



Five essential questions to ask companies on gender

When actively engaging with portfolio companies on gender, consider asking the following questions to explore the extent to which they prioritize gender and address its core dimensions:

1. **Commitment:** To what extent is the company committed to prioritizing gender?
2. **Full value chain:** To what extent does the company address gender across its full value chain (See “Prioritizing Gender using a Full Value Chain Approach” above)?
3. **Key gender themes:** To what extent does the company address core gender dimensions?
 - Representation: To what extent are all genders fairly represented across the company?
 - Pay equity: To what extent is the company driving gender pay equity?
 - Benefits: What benefits does the company offer to support employees as they manage their work and life responsibilities?
 - Health & well-being: What does the company do to support the gender-specific health & well-being of its employees?
 - Gender-based violence & harassment: How is the company committed to providing a workplace that is free from gender-based violence and harassment?
4. **Data:** What gender data does the company publicly disclose across its value chain?
5. **Stakeholder engagement:** To what extent does the company regularly engage with both internal and external stakeholders of all genders regarding specific gender themes?

To assist investors in prioritizing gender, Boston Common Asset Management has developed various new investor tools that are available in the Investor Guidance for Prioritizing Gender report, including:

- Gender-Priority Investor Framework
- Checklist: What “good” gender policy looks like
- Gender-priority Corporate & Workplace practices
- Gender-specific risks
- Company-level gender data sources
- Gender-priority practices & case studies across the full value chain of portfolio companies

Conclusion

Given the continued and increasing challenges to global gender equity, investors are well-positioned to drive meaningful change that looks beyond Board or leadership diversity alone to go further into the full value chain. It is critical that investors prioritize and deepen their approaches to gender by evolving the depth and breadth of how they address gender across firm and investment activities. We encourage investors to take appropriate action to (1) commit, (2) evaluate & act and (3) disclose more on gender over time.